

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 18-07

MARINE TRANSPORT LOGISTICS, INC.

COMPLAINANT

v.

CMA CGM (AMERICA) LLC

RESPONDENT

MOTION TO DISMISS

Respondent CMA CGM (America) LLC (“CMA”), by its undersigned attorney, moves to dismiss the Complaint filed by Marine Transport Logistics, Inc. for failure to state a claim upon which relief can be granted. The Complaint fails to meet the applicable thresholds for stating a cause of action under the Shipping Act for the following reasons:

1. The Complaint improperly alleges that the Federal Maritime Commission (“the Commission”) has subject matter jurisdiction over claims in the above-captioned matter based on 46 U.S.C. 30701, which is a citation to the U.S. Carriage of Goods by Sea Act (“COGSA”). COGSA does not confer subject matter jurisdiction to the Commission.
2. The Complaint fails to meet the minimum pleading standards set forth in *Bell Atlantic Corp. v. Twombly*, 50 U.S. 544, 570 (2007), because it fails to set forth sufficient factual allegations to state a claim for relief.

3. The Complaint seeks remedies for an alleged breach of contract, since all shipments at issue were made pursuant to a service contract between CMA and MTL, and therefore must be dismissed pursuant to 46 U.S.C. § 40502(f).
4. The Complaint alleges violation of 46 U.S.C. § 41102(c), but fails to set forth allegations of any normal, customary, and continuous practice as required by the Shipping Act as explained by the Commission's interpretative rule issued December 12, 2018 in FMC Docket 18-06, RIN 3072-AC71.
5. The Complaint alleges a violation of 46 U.S.C. 41104(9), which is inapplicable to the alleged conduct because this provision is intended to protect ports and localities.
6. The Complaint fails to set forth allegations sufficient to meet the Commission's long-established, required elements for finding an unreasonable refusal to deal that violates of 46 U.S.C. § 41104(10).

LEGAL STANDARD APPLICABLE TO A MOTION TO DISMISS

The applicable Federal Maritime Commission regulation for motions to dismiss in a private party proceeding is found at 46 C.F.R. §502.69(g). A motion to dismiss is appropriate if it is clear that no relief may be granted that could be proved consistent with the allegations contained in a complaint. See, e.g., *Cargo One, Inc. v. Cosco Container Lines*, 1000 FMC LEXIS 14 (FMC: Served October 31, 2000). The Commission follows the Federal Rules of Civil Procedure ("FRCP") for instances that are not covered by the Commission's rules, to the extent application is consistent with sound administrative practice. 46 C.F.R. § 502.12. Federal Rule 12(b)(b) sets forth the applicable standard for motions to dismissal for failure to state a claim. *Mitsui O.S.K. Lines, Ltd. v. Global Link Logistics, Inc. et al.*, 2011 FMC LEXIS 12 (FMC: Served Aug. 1, 2011).

In order to survive a motion to dismiss for failure to state a claim under the F 12(b)(6), a complaint must include sufficient factual matter that, if accepted as true, “state[s] a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim includes enough “facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendable is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009). In contract, a complaint should be dismissed if it doesn’t include “something more...than...a statement of facts that merely creates a suspicion [of] a legally cognizable right of action.” C. Wright & A. Miller, *Federal Practice and Procedure* § 1216, pp. 235-236 (3d ed. 2004). “A pleading that offers ‘labels and conclusions’ or a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). “While legal conclusions can provide the complaint’s framework, they must be supported by factual allegations.” *Iqbal*, 556 U.S. 662, 664 (2009). As set forth more fully below, MTL’s Complaint does not support a claim for relief that is plausible on its face. No relief may be granted by the Commission, regardless of whether every allegation claimed by MTL was proved true. The Complaint must, therefore, be dismissed.

MTL FAILS TO STATE A CLAIM FOR UNREASONABLE PRACTICES

MTL alleges that CMA violated 46 U.S.C. 41102(c) by failing to establish, observe and enforce just and reasonable regulations and practices related to the shipments at issue. Even if all MTL’s allegations are taken are true, which they are not, they fail to establish a cause of action under 46 U.S.C. 41102(c). MTL’s cause of action against CMA for violations under 46 U.S.C. 41102(c) fails because its claims relate to CMA’s alleged actions or omissions related to several shipments under a single service contract between MTL and CMA, all of which occurred

within a short period of time, rather than practices engaged in on a normal, customary and continuous basis. As referenced by the Commission in its notice of proposed rulemaking issued September 6, 2018, regarding the Shipping Act's prohibition against failing to establish, observe, and enforce just and reasonable regulations and practices, Commission precedent dating back to 1935 consistently holds that a regulated entity must engage in a practice on a "normal, customary, and continuous" to be found in violation of 46 U.S.C. 41102(c). The very nature of MTL's claims, which the Complaint specifies relate to CMA's alleged acts and omissions involving 9 containers destined to Yemen, a region that was experiencing civil war and major political instability, prevent them from being viable claims under 46 U.S.C. 41102(c). Even if CMA's behavior was unreasonable (which CMA denies), MTL does not allege that CMA engaged in such practices on a "normal, customary, and continuous" basis. MTL fails to plead the required elements for a cause of action under 46 U.S.C. 41102(c) since its allegations relate to a discrete set of shipments contracted for between MTL and CMA under a single service contract, over a short period of time, rather than business practices engaged in by CMA on a normal, customary and continuous basis.

MTL's Complaint alleges unreasonable practices related to 9 containers of used automobiles. This claim under 46 U.S.C. 41102(c) cannot succeed, given the Interpretive Rule issued by the Commission on December 12, 2018 related to unjust and unreasonable practices. The Shipping Act, as explained by the Commission's Final Interpretive Rule, unambiguously requires that a regulation or practice be engaged in on a "normal, customary, and continuous basis", as well as a finding that the practice or regulation is unreasonable. *See* 46 C.F.R. Section 545.4. A claimant cannot successfully submit a claim for reparations under 46 U.S.C. 41102(c)

without proving both these elements. MTL's Complaint falls short on both points. MTL's Complaint fails to support a claim for relief under 46 U.S.C. 41102(c) and must be dismissed.

**MTL FAILS TO STATE A CLAIM FOR UNDUE OR UNREASONABLE PREJUDICE OR
DISADVANTAGE**

MTL alleges that CMA violated 46 U.S.C. 41104(9) by imposing undue and unreasonable prejudice or disadvantage with respect to the Port of Aden and by failing to ship and diverting MTL's cargo. MTL's claim under 46 U.S.C. 41104(9) must be dismissed because the relevant prohibition against imposing any undue or unreasonable prejudice or disadvantage with respect to a port does not apply to the alleged conduct at issue. The plain language of 46 U.S.C. 41104(9) makes it clear that its prohibitions protect ports, not shippers such as MTL. The legislative history of the 1998 amendments to the Shipping Act provide further clarity:

First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at a locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality.

S. Rep. 61, 105th Congress, 1st Sess., p. 28. Both the plain language of the Shipping Act and its legislative history unequivocally show that this provision was intended to protect ports and localities. MTL has no standing to assert violations of 46 U.S.C. 41104(9). Even if MTL did have standing to assert a violation, which it does not, such claim must fail because MTL's complaint acknowledges that relevant restrictions involving shipments were restricted due to Yemen's political instability and civil war. "Only due or unreasonable preferences and prejudices" would

be found to violate this prohibition. *Seacon Terminals, Inc. v. Port of Seattle*, 1993 FMC LEXIS 60 (FMC: Served April 14, 1993). Restrictions imposed on a port due to political instability and civil war are, by nature, neither unreasonable nor undue. MTL's Complaint fails to support a claim for relief under 46 U.S.C. 41104(9) and must be dismissed.

MTL FAILS TO STATE A CLAIM FOR UNREASONABLE REFUSAL TO DEAL

MTL alleges that CMA violated 46 U.S.C. 41104(10) by unreasonably refusing "to deal or negotiate by failing to release containers even though, upon information and belief, the freight for such was fully paid and MTL was negotiating in good faith as to the issue of detention/storage charges that continued to accrue". See MTL's Complaint, Paragraph 20. MTL's Complaint fails to support a claim for unreasonable refusal to deal under 46 U.S.C. 41104(10). While Section 41104(10) of the Shipping Act requires an ocean common carrier to not "unreasonably refuse to deal or negotiate", the Shipping Act does not guarantee the right to enter into a contract, much less a contract with any specific terms. *New Orleans Stevedoring Company v. Board of Commissioners of the Port of New Orleans*, 2002 FMC LEXIS 24 (FMC: Served Jan. 28, 2002). This Shipping Act provision merely requires that carriers "refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors". *Id.* Establishing that a common carrier unreasonably refused to deal or negotiate, in violation of 46 U.S.C. 41104(10), requires a two-part analysis: "whether [the common carrier] refused to deal or negotiate, and, if so, whether its refusal was unreasonable." *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 FMC LEXIS 11 (FMC: Served April 17, 2014). MTL's Complaint must be dismissed because it fails to allege facts supporting these elements. MTL has not alleged that CMA refused to deal or negotiate; it has only alleged that the negotiations or discussions did not yield the result MTL

wanted. “A refusal to deal allegation requires more than that a request is denied.” *Maier Terminals, LLC v. Port Authority of New York and New Jersey*, 2015 FMC LEXIS 1 (FMC: Served January 30, 2015). MTL’s Complaint fails to support a claim for relief under 46 U.S.C. 41104(10).

MTL must allege facts that – if true – establish an actual refusal by CMA to deal or negotiate with MTL. *See e.g., Chilean Nitrate Sales Corp. v. San Diego Unified Port District*, 1988 FMC LEXIS 43 (FMC: Served April 29, 1998) (no unreasonable refusal to deal or negotiate where complainant had not attempted to negotiate). A refusal to deal is established where a carrier refuses to even consider a good faith offer or proposal without justification. *Canaveral Port Authority -Possible Violations of Section 10(b)(1), Unreasonable Refusal to Deal or Negotiate*, 2003 FMC LEXIS 28 (FMC, Served February 24, 2003). The Commission has found unreasonable refusal to deal where Canaveral Port Authority refused, without good cause, to even consider a tug and towing franchise’s application. *Id.* However, once a party has considered an offer its rejection of that offer does not equal a refusal to deal or negotiate. A party’s rejection of an offer, or of a requested course of action, does not equal a refusal to deal or negotiate. *See Seacon Terminals, Inc. v. Port of Seattle*, 1193 FMC LEXIS 60 (FMC: Served April 14, 1993); *see also Petchem, Inc. v. Federal Maritime Commission*, 853 F.2d 558 (D.C. Cir. 1988). A decision may be even be characterized as “debatable” or “overly conservative, inflexible and insufficiently responsive to ... needs” without qualifying as “unreasonable or as being unrelated to legitimate transportation considerations” in violation of 46 U.S.C. 41104(10). *New Orleans Stevedoring Company v. Board of Commissioners of the Port of New Orleans*, 2002 FMC LEXIS 24 (FMC: Served June 28, 2002).

MTL's Complaint does not support a claim for relief under 46 U.S.C. 41104(10). As the Commission stated in its order of investigation and hearing for the Docking and Lease Agreement between the City of Portland and Scotia Prince Cruises, "good faith consideration [given] to an entity's proposal or efforts at negotiation is central to determining whether a refusal to deal or negotiate was unreasonable." *Agreement No. 201158 - Docking and Lease Agreement by and between City of Portland, Maine and Scotia Prince Cruises Limited- Order of Investigation and Hearing*, FMC Docket No. 04-10 (FMC: Served August 23, 2014). MTL must, at a minimum, allege facts that, if proven true, would establish a refusal to deal made without "good faith consideration" and "unrelated to legitimate transportation considerations". *Id.* See also *New Orleans Stevedoring Company v. Board of Commissioners of the Port of New Orleans*, 2002 FMC LEXIS 24 (FMC: Served June 28, 2002) MTL's Complaint fails to meet both threshold requirements. MTL's Complaint does not allege any facts indicating that CMA failed to give its requests good faith consideration. Moreover, even if every factual allegation of MTL's Complaint was true (which CMA denies), the Complaint is insufficient to support a finding that CMA refused to deal or negotiate for reasons "unrelated to legitimate transportation considerations". *Id.* To the contrary, the facts alleged by MTL's Complaint show that relevant concerns related to the shipments at issues arose due to political conflict in Yemen and that country's ongoing civil war. Civil war and political unrest are legitimate transportation considerations. MTL may not agree with CMA's business decisions related to these shipments, but the Complaint includes no factual allegations suggesting CMA acted unreasonably or otherwise outside its legitimate business discretion. See *New Orleans Stevedoring Company v. Board of Commissioners of the Port of New Orleans*, 2002 FMC LEXIS 24 (FMC: Served June 28,

2002) (debatable, overly conservative, inflexible and insufficiently responsive refusals not unreasonable or unrelated to legitimate business considerations). Moreover, CMA did not refuse service to MTL. CMA provided service in accordance with its tariff, service contract, and bill of lading terms. CMA has no obligation to negotiate a waiver of charges. MTL's claim for relief under 46 U.S.C. 41104(10) must be dismissed given its failure to state a claim for relief that is plausible on its face. *See Bell Atlantic v. Twombly*, 550 U.S. 544, 570 (2007).

MTL FAILS TO REQUEST CLEAR REPARATIONS

MTL's Complaint fails to include a clear request for reparations and should be dismissed.

CONCLUSION

For the foregoing reasons, MTL's Complaint should be dismissed for failure to state a claim upon which relief may be granted.

Respectfully submitted,



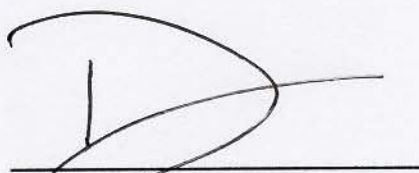
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CERTIFICATE OF SERVICE

I hereby certify that I have served a true and correct copy of the foregoing Motion to Dismiss of Respondent CMA CGM (America) LLC on the Complainant by sending a copy via electronic mail to Complainant's attorney at the following address:

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